

DM MARKET UPDATE

June 1, 2026 | Tyler Hubbard, Head of Research | Decentralized Masters

MARKET SNAPSHOT

Approx. open prices | week-over-week change

BTC ~\$72,000 -4.0%	ETH ~\$2,020 -5.2%	S&P 500 7,580 +1.4%	NASDAQ 26,972 +2.1%	GOLD \$4,502 -0.6%	BRENT \$93.37 -9.7%	DXY 99.1 +0.4%
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w/w = week-over-week change

CRYPTO OUTLOOK

Crypto closed May in the red, diverging sharply from equities. The Fear and Greed Index sits at 28 (Fear). A confluence of macro headwinds, institutional repositioning, and thin liquidity created a difficult tape across digital assets last week, breaking what is historically a strong month for Bitcoin.

BITCOIN

ETF Outflows: Ten consecutive days of net outflows from U.S. spot Bitcoin ETFs. AUM contracted from \$104B to \$94B. YTD inflows collapsed to \$1.2B from \$3.9B two weeks ago. A \$1.26B block sale of BlackRock IBIT on May 26 at a 2.3% discount to NAV was characterized by NYDIG as a large investor rapid exit, not a mechanical basis-trade unwind. That distinction is a sentiment signal.

On-Chain Divergence: Whale accumulation added roughly 270,000 BTC over April-May. Exchange supply continues trending lower, historically a precursor to supply tightening. Long-term holder behavior remains intact. The distribution picture does not confirm the ETF outflow narrative, suggesting two distinct participant types making two distinct decisions.

Technical: Consolidating the \$73-77K range. The 50-day MA is above price and declining (resistance). The 200-day MA has been falling since May 1. Key support: \$73-75K. A sustained break below \$73K opens a more meaningful downside case.

ETHEREUM

Price Structure: ETH hovers near \$2,000 with RSI near 33 (daily oversold). The 50-day EMA at \$2,133 is immediate resistance. Sustained ETF outflows throughout May have removed institutional buy-side pressure. Bears dominate the current chart structure; analysts have flagged \$1,850 as the next key support.

Glamsterdam Upgrade (H1 2026): Key components include EIP-7928 (block-level access lists enabling parallel transaction processing) and EIP-7732 (enshrined Proposer-Builder Separation). Gas limit target: beyond 100M. Substantive infrastructure work, but not an immediate price catalyst.

Setup: Whale accumulation building below \$2,500 creates clustered liquidity with short squeeze potential on a positive macro catalyst. Downside: \$1,850. Upside on relief: \$2,500+.

RELATIVE STRENGTH

HYPE and XLM are outperforming the broader crypto market this morning while BTC and ETH are red. HYPE, anchored to the Hyperliquid perpetuals ecosystem, continues to diverge positively from the broader tape. In a weak market, names that hold bid while others sell indicate where real demand is concentrated.

BITCOIN KEY LEVELS Support: \$73,000-75,000 Resistance: 50-day MA (declining) Risk break: Below \$73K	ETHEREUM KEY LEVELS Support: \$1,850 Resistance: \$2,133 (50d EMA) Squeeze trigger: Above \$2,500
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CRYPTO RISK WATCH: Continued ETF outflows for a second or third week shifts the structural case bearish. A hawkish NFP print Friday or Iran escalation tightens the macro noose further. On-chain accumulation is the bull counterargument but needs a catalyst to register in price.

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MACRO OUTLOOK

IRAN, OIL, AND THE STRAIT OF HORMUZ

The US-Iran conflict, ongoing since February 28, remains the dominant macro driver of 2026. Iran closed the Strait of Hormuz following U.S. and Israeli airstrikes, disrupting roughly 25% of global seaborne oil trade and 20% of LNG flows. Brent spiked from the low-\$60s in January to above \$116 in early May.

Last Week: A tentative MoU framework was reached Thursday, briefly lifting sentiment and sending oil lower. Friday, Trump issued new demands covering full Strait reopening, a halt to Iran's nuclear program, and unfreezing of Iranian assets. Tehran pushed back. The deal is unresolved. Brent is now near \$93 (WTI \$88). Separately, Treasury Secretary Bessent disclosed the U.S. seized approximately \$1B in Iranian cryptocurrency.

Binary Risk: A credible deal sends Brent toward \$80-85, easing PCE and reopening the rate cut conversation. A breakdown pushes Brent back toward \$100+, reinforcing rate hike probability (currently ~46% by December). Single headlines can swing Brent 15-20 dollars.

GOLD

Holding above \$4,500 this morning. Gold retreated briefly on tentative Iran deal optimism but did not break lower, signaling persistent structural demand. Annual PCE at 3.8%, ongoing global central bank accumulation, and a dollar at DXY 99 all support the current price regime. Primary risk: a durable comprehensive peace deal that materially improves the inflation outlook, a high bar given the current state of negotiations.

THE DOLLAR AND THE FED

DXY near 99. Last week's PCE: headline 3.8% YoY, core 3.3%, both well above the 2% target though monthly readings came in below expectations. FOMC held at 3.50-3.75% with an 8-4 vote, the largest dissent since October 1992. Kevin Warsh takes over as Fed Chair on June 18; he is significantly more hawkish. BofA and Goldman have pushed rate cut expectations to H2 2027.

EQUITIES

S&P 500 closed May at 7,580 (+5% month), Nasdaq gained over 8% (best month since November), Dow crossed 51,000 for the first time. Ninth consecutive weekly gain for the S&P, the longest streak since 2023. AI capex projected at \$670B in 2026; AI-related names now represent ~45% of S&P market cap. Key risk: breadth is thin, S&P RSI entered this week at 73 (overbought), and statistically 9-week streaks tend to break in the 10th week.

WEEK AHEAD | June 1-5, 2026

DATE	EVENT	WHY IT MATTERS
MON 6/1	ISM Manufacturing PMI, Construction Spending	Factory health under elevated rates and Hormuz supply disruption
WED 6/3	ADP Employment, ISM Services, Fed Beige Book	Labor market preview; Beige Book is the first qualitative Fed read under incoming Chair Warsh
WED AMC	Broadcom (AVGO) Earnings	Primary AI infrastructure confirmation event for equities; most critical earnings of the week
THU 6/4	Jobless Claims, Nonfarm Productivity	Ongoing labor health check ahead of the main event Friday
FRI 6/5	Nonfarm Payrolls + Unemployment Rate	Primary Fed catalyst. Goldilocks: 125-175K. Below 125K = recession fear. Above 200K = rate hike signal

MACRO RISK WATCH:

A hawkish NFP print (>200K) reactivates rate hike probability and pressures all risk assets. An Iran deal breakdown sending Brent back toward \$100+ re-introduces 2026's worst inflation scenario. Warsh's first policy statement June 18 will set the tone for the rest of the year.